

1.2 EXPENDITURE APPROACH

Multiple Choice Questions

1990/CE/II/33

A Hong Kong citizen switches his flight from a local airline to Japan Airlines. What is the effect on Hong Kong's Gross Domestic Product (GDP)?

- A. an increase in imports
- B. a decrease in exports
- C. a decrease in consumption
- D. an increase in investment

1993/CE/II/39

	\$ million
Private consumption expenditure	40
Government consumption expenditure	10
Gross domestic fixed capital formation	10
Change in stocks	1
Total exports of goods	80
Domestic exports	70
Re-exports	10
Imports of goods	60
Exports of services	20
Imports of services	30
Inflow of capital	30
Outflow of capital	15

The GDP of the economy in that year is

- A. \$61 million.
- B. \$70 million.
- C. \$71 million.
- D. \$81 million.

1993/CE/II/51

An increase in exports and a decrease in imports will cause the national income to

- A. increase
- B. decrease
- C. remain unchanged
- D. either increase or decrease

1996/CE/II/28

In using the expenditure approach to calculate the Gross National Product (GNP) of an economy, imports should be deducted because:

- A. Some imports are substitutes of domestic products.
- B. Some imports are intermediate goods.
- C. Imports will lead to payments to foreign countries.
- D. Imports are the expenditure on goods and services produced by foreign countries.

1996/CE/II/30

Refer to the following information about an economy:

GNP at market price	\$100
Exports of goods and services	20
Imports of goods and services	30
Net income from abroad	-5
Indirect taxes	25
Subsidies	35
Depreciation	5

The GDP at factor cost is:

- A. \$95
C. \$115
- B. \$105
D. \$125

1998/CE/II/30

Answer Question 30 by referring to the following data of an economy:

	\$Mn
Gross national product at market price	46
Change in stock	3
Net income from abroad	1
Subsidies	4
Depreciation	5
Indirect business tax	6
Net exports	2

The gross national product at factor cost (in \$Mn) is

- A. 39.
C. 44.
- B. 43.
D. 47.

2001/CE/II/28

The following table shows the gross domestic product (GDP) data of a country.

	\$Mn
Private consumption expenditure	500
Government consumption expenditure	100
Net domestic fixed capital formation	250
Changes in inventories	30
Total exports of goods	800
Re-exports of goods	200
Imports of goods	900
Exports of services	300
Imports of services	150
Depreciation	60

The GDP at market price is

- A. \$900 million.
C. \$990 million.
- B. \$930 million.
D. \$1 190 million.

2003/CE/II/26

The following table shows the gross domestic product (GDP) data of a country in a certain year.

	\$ Million
Private consumption expenditure	400
Government consumption expenditure	100
Gross domestic fixed capital formation	200
Reduction in inventory	20
Domestic exports of goods	330
Re-exports of goods	170
Imports of goods	550
Exports of services	400
Imports of services	350
Depreciation allowance	60

The GDP at market price is

- A. \$620 million.
- B. \$660 million.
- C. \$680 million.
- D. \$720 million.

2004/CE/II/29

The introduction of the 'individual visit' (個人遊) scheme for Mainland visitors to HK would increase the GDP of HK. The spending of these visitors on jewellery in HK is a/an _____ of HK.

- A. consumption expenditure
- B. investment expenditure
- C. export
- D. import

2005/CE/II/27

The following table shows the statistical data of an economy in a certain year.

	Million Dollars
Private consumption expenditure	50 000
Government consumption expenditure	8 000
Gross domestic fixed capital formation	7 000
Decrease in inventory	3 000
Total export	30 000
Total import	45 000
Indirect taxes	50
Depreciation allowance	4 200

The GDP at market price (in million dollars) is

- A. 42 850.
- B. 47 000.
- C. 50 000.
- D. 51 150.

2006/CE/II/28

The following table shows the statistical data of an economy.

Components	\$Million
Private consumption expenditure	200
Government consumption expenditure	150
Net domestic fixed capital formation	300
Decrease in stock	70
Subsidies	120
Depreciation	50
Net exports	300
Net income from abroad	80
Direct tax	100

The GDP at factor cost (in \$mn) is

- A. 950. B. 970.
C. 1 050. D. 1 190.

2008/CE/II/26

The following table shows the national income statistics of an economy :

Components	\$Million
Private consumption expenditure	800
Government consumption expenditure	250
Gross domestic fixed capital formation	600
Decrease in inventories	50
Total export of goods	1 700
Total import of goods	450
Export of services	850
Import of services	550

The gross domestic product (GDP) at market price is \$_____ million.

- A. 3 100 B. 3 150
C. 3 200 D. 3 250

2009/CE/II/28

The following table shows the statistical data on an economy.

Components	\$ million
Private consumption expenditure	600
Net domestic fixed capital formation	250
Increase in stock	70
Government consumption expenditure	450
Depreciation	30
Total exports of goods and services	500
Total imports of goods and services	140
Re-exports of goods	100

The GDP at market price is \$_____ million.

- A. 1 690 B. 1 730
C. 1 760 D. 1 830

GDP Items	\$ billion
Private consumption expenditure	100
Gross domestic fixed capital formation	200
Changes in inventories	-50
Depreciation	10
Government consumption expenditure	150
Transfer payments	20
Indirect taxes	100
Subsidies	40
Net exports of goods and services	-15

The GDP at market price is \$_____ billion.

- A. 375
C. 395
- B. 385
D. 445

The GDP at factor cost is \$_____ billion.

- A. 315
C. 375
- B. 325
D. 445

Refer to the following table.

Gross Domestic Product (GDP) Components	\$ million
Private consumption expenditure	200
Net domestic fixed capital formation	40
Increase in inventory	x
Government consumption expenditure	24
Net exports	10
Indirect taxes	60
Subsidies	30
Depreciation	40
Net factor income from abroad	16

- A. -50
C. 20
- B. -20
D. 50

2013/DSE/I/22

Consider the following Gross Domestic Product (GDP) data about a country.

2013/DSE/I/22

Consider the following Gross Domestic Product (GDP) data about a country.

Components	\$ million
GDP at market price	200
Private consumption expenditure	120
Gross domestic fixed capital formation	40
Change in inventories	10
Total exports of goods	80
Domestic exports of goods	70
Imports of goods	60
Exports of services	20
Imports of services	30
Net income from abroad	25
Depreciation	35
Indirect business tax	28
Subsidies	18

The government consumption expenditure for that year is \$ _____ million.

- A. 20
C. 40
- B. 30
D. 50

2016/DSE/I/23
Consider the following Gross Domestic Product (GDP) data about a country.

2016/DSE/I/23
Consider the following Gross Domestic Product (GDP) data about a country.

GDP Components	\$ million
Private consumption expenditure	380
Government consumption expenditure	450
Gross domestic fixed capital formation	230
Decrease in stock	50
Subsidies	30
Depreciation	40
Total exports	130
Total imports	170
Direct tax	30

The GDP at factor cost is \$_____ million.

- A. 960
C. 1 000
- B. 970
D. 1 100

2022/DSE/I/24

Study the following data of an economy.

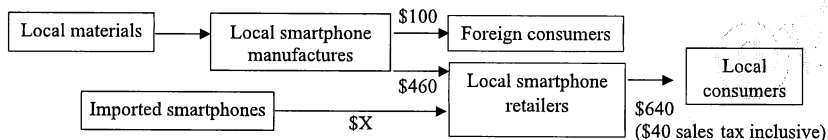
Components	\$ million
Private consumption expenditure	500
Gross domestic fixed capital formation	260
Decrease in stock	120
Government consumption expenditure	470
Total exports of goods	380
Re-exports of goods	140
Total imports of goods	220
Net exports of services	730
Depreciation	90
Indirect taxes	75

The gross domestic product (GDP) at factor cost is \$ million.

- A. 1925
- B. 2065
- C. 2075
- D. 2165

2023/DSE/I/25

The following diagram shows a production chain of smartphones in an economy.



If the contribution of the above production chain to the economy's GDP at factor cost is \$560, the value of X is _____.

- A. 40
- B. 80
- C. 140
- D. 180

2024/DSE/I/24

Refer to the following data of an economy.

Components	\$ million
Private consumption expenditure	100
Net domestic fixed capital formation	20
Government consumption expenditure	30
Change in inventories	–5
Net export of goods	60
Re-exports	27
Import of services	80
Export of services	40
Depreciation	11
Indirect tax	18

The gross domestic product (GDP) at market price is \$_____million.

- A. 165
- B. 176
- C. 194
- D. 203

Short & Structured Questions

1990/CE/I/3(a)(iii)

The following are Hong Kong's Gross Domestic Product (GDP) components (at current prices) in 1988:

	<u>\$ Billion</u>
Private consumption expenditure	255
Government consumption expenditure	30
Gross domestic fixed capital formation	109
Increase in stocks	10
Domestic exports of goods	218
Re-exports of goods	275
Imports of goods	501
Exports of services	86
Imports of services	56

(The GDP deflator for 1980 = 100)

Find Hong Kong's GDP at current prices for 1988. Name the approach you have used to calculate the national income.

(5 marks)

1993/CE/I/4(a)(i)

The following table shows the composition of Hong Kong's Gross Domestic Product (GDP) in 1980 and 1990:

GDP Components	<u>Ratio to total GDP</u>	
	1980	1990
Private consumption expenditure	62%	62%
Government consumption expenditure	A%	6%
Investment	36%	28%
Exports	88%	165%
Imports	93%	161%

Name the method of GDP measurement used in the above table and calculate the value of A. Show your working. (4 marks)

2002/CE/I/11(a)(i)

The following shows the gross domestic product (GDP) data of economy A in a certain year.

	<u>\$million</u>
Private consumption expenditure	400
Net investment expenditure	180
Government consumption expenditure	250
Exports	500
Imports	650
Depreciation	150
Indirect business tax	50
Interest	200

Calculate the GDP at market price of economy A.

(3 marks)

2018/DSE/II/12(c)

Source 2: Statistical data about tourism in Hong Kong in 2016

	<u>2016</u>	<u>Compared with 2015 (%)</u>
Mainland visitors	42.8 billion	-6.7%
Total visitors	56.65 billion	-4.5%
Total tourism expenditure associated to inbound tourism	HK\$296.2 billion	-10.1%

With reference to Source 2, to which component of Hong Kong's GDP does the 'total tourism expenditure associated to inbound tourism' belong?

(1 mark)

2025/DSE/II/9(Cross Topic)

In the 2024-25 Budget, the Financial Secretary proposed to adjust the rate of the hotel accommodation tax (HAT) from 0% to 3% with effect from 1 January 2025. Hotels and guesthouses would be required to pay the HAT at the rate of 3% on accommodation charges.

- (a) Explain whether the proposed HAT is a progressive tax, a proportional tax or a regressive tax. (3 marks)
- (b) An economist comments, 'Both the indirect tax revenue and the direct tax revenue of the Government may be affected by the above proposed HAT.' Justify the economist's comment. (4 marks)

There are receptionists, bell boys, room attendants and managers working in hotels.

- (c) What economic principle is illustrated by the above phenomenon? List **THREE** reasons why the application of this principle can increase labour productivity. (4 marks)
- (d) The following is a job advertisement for room attendants in a hotel.

Room attendants Major duty: tidying up hotel rooms Working hours: 10am – 2pm Salary: \$85 per hour

From the viewpoint of the hotel owners, give **ONE** advantage and **ONE** disadvantage of the above wage payment method over piece rate. (2 marks)

- (e) Many hotels in Hong Kong charge a higher room rate during public holidays than on other days. Explain whether the opportunity cost of staying in those hotels in Hong Kong is *necessarily* higher during public holidays than on other days. (3 marks)